

Retail Research – IPO Note	17 th June 2025
Sector: Construction Material	Price Band (Rs): 210 - 222
Listing Gain: Likely to be muted	Recommendation: Subscribe for Long Term Investment Horizon

Arisinfra Solutions Ltd.

Company Overview:

Arisinfra Solutions Ltd. is a B2B tech-enabled company streamlining the procurement of construction materials through a digital-first approach. By combining technology with human expertise, the company offers an end-to-end solution for sourcing bulk materials like aggregates, RMC, steel, cement, and more. Between Apr'21 to Dec'24, the company have delivered 14.1 million metric tonnes (MMT) of materials via 1,729 vendors to 2,659 customers across 1,075 pin codes in cities including Mumbai, Bengaluru and Chennai.

Key Highlights:

1. Leveraging technology to transform the supply chain for construction materials: (a) **Deal Finalisation:** The company leverages its technology to quickly connect with multiple vendors, request quotes and identify the best prices—streamlining deal finalization. Its integration with a popular messaging app speed up RFQ (Request for quotation) sharing and quote delivery, reducing procurement time and simplifying vendor coordination. (b) **Delivery management:** The company's delivery system, 'ArisDelivery', streamlines material dispatch using minimal data input and real-time updates. It enhances coordination, reduces manual effort and improves operational efficiency by managing daily deliveries with fewer resources & less communication. (c) **Document digitalization:** Using AI and ML, the company has digitized key documents like delivery challans and weighbridge slips, enabling real-time access and secures cloud storage. Since Mar'23, the company have processed over 157,000 documents with high accuracy, including handwritten ones. This transformation reduces manual effort, minimizes errors and speeds up reconciliation & transaction timelines. (d) **Data analysis empowers informed decisions:** The company analyses data across the entire deal lifecycle from RFQs to vendor responses, logistics, pricing history and credit performance. This helps them to generate accurate quotes and equips their team with insights to make fast, informed decisions based on margins, payment terms and risk analysis.

2. Growing third-party manufactured construction materials: The company sees strong potential in the fragmented construction materials market. In FY23, the company expanded into third-party manufacturing of aggregates, RMC, and walling solutions to ensure quality, improve margins and reduce reliance on intermediaries, positioning themselves as a full-service materials provider while boosting revenue and cash flow.

3. Technology-enabled comprehensive credit risk analysis framework for operational efficiency: The company has built a robust credit risk framework using real-time data analysis and AI-powered tools. By evaluating customer financials, tracking payment behavior and digitizing documentation like delivery challans and e-waybills, the company streamline collections and reduce disputes. The company's integrated system generates detailed and nano business reports via a messaging app, enabling swift, informed decisions. Digitization also allows instant invoicing, improving cash flow and minimizing credit period losses.

Valuation: The company is valued at 9MFY25 annualised EV/EBITDA multiple of 35.8x at post issue capital of upper price band. It operates a niche B2B business model, serving as a one-stop solution for raw material supplies used in infrastructure and real estate development projects. The proceeds from the issue will be utilized to reduce debt, meet working capital requirements and invest in its subsidiary. Leveraging AI-enabled technology, the company is well-positioned to capitalize on its integrated supply model, catering to major industry players. This positions it as an organized and comprehensive provider in a largely fragmented market. We expect the listing to be muted in the backdrop of expensive valuation. However, investors who wish to take exposure to new age platform for construction material, we recommend subscribing to the issue with a long-term investment horizon.

Issue Details	
Date of Opening	18 th June 2025
Date of Closing	20 th June 2025
Price Band (Rs)	210 - 222
Fresh Issue (Rs cr)	499.6
Issue Size (Rs cr)	499.6
No. of shares	2,37,90,286 – 2,25,04,324
Face Value (Rs)	2
Post Issue Market Cap (Rs cr)	1,729 – 1,799
BRLMs	JM Financial, IIFL Capital Services, Nuvama Wealth Management
Registrar	MUFG Intime India Private Ltd.
Bid Lot	67 shares and in multiple thereof
QIB shares	75%
Retail shares	10%
NIB shares	15%

Objects of Issue	
	Estimated utilization from net proceeds (Rs cr)
Repayment / prepayment, in full or part, of certain outstanding borrowings availed by the Company	204.6
Funding the working capital requirements of the Company	177.0
Investment in Subsidiary, Buildmex-Infra Private Limited, for funding its working capital requirements	48.0
General corporate purpose*#	-
Total proceeds from fresh issue	499.6

**To be finalised upon determination of the Issue Price and updated in the Prospectus at the time of filing with the RoC*

#The cumulative amount to be utilized towards general corporate purposes and unidentified inorganic acquisitions shall not exceed 25% of the Gross Proceeds, whereby, the total amount to be utilized towards unidentified inorganic acquisitions shall not exceed Rs 60 cr.

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	3,07,41,960	52.5
Public & Others	2,78,02,242	47.5
Total	5,85,44,202	100.0

Post Issue @Lower Price Band	No. of Shares	%
Promoter & Promoter Group	3,07,41,960	37.3
Public & Others	5,15,92,528	62.7
Total	8,23,34,488	100.0

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	3,07,41,960	37.9
Public & Others	5,03,06,566	62.1
Total	8,10,48,526	100.0

Source: RHP, SSL Research

Key Financials

Particulars (Rs cr)	FY22	FY23	FY24	9MFY25
Revenue from operations	452	746	697	547
EBITDA	(1)	(1)	13	33
Adj. EBITDA [^]	7	(1)	39	45
PAT	(6)	(15)	(17)	7
EBITDA Margin (%)	-	-	1.8	6.0
Adj. EBITDA Margin (%)	1.6	-	5.6	8.3
PAT Margin (%)	-	-	-	1.2
RoE (%)	(4.6)	(14.7)	(12.2)	-
RoCE (%)	(0.1)	1.7	3.7	-
P/E (x)*	-	-	-	-

Source: RHP, SSL Research

[^]Adjusted EBITDA = EBITDA + Fair value of loss on derivatives - Fair value of gain on derivatives + Employee share based payment expenses

*Note: Pre-issue P/E based on upper price band

Risk Factors

- **Revenue concentration:** The company derives a majority portion of revenues from the sale of aggregates, ready-mix-concrete (RMC) and steel, which represented 37.1%/25.3%/6.7% and 31.2%/21.1%/16.7% of the revenue from operations for 9MFY25 and FY24, respectively. Any decline in the demand of these construction materials would have an adverse effect on the business and results of operations.
- **Dependency on top 10 customers:** A significant portion of the revenue comes from key customers, with the top 10 contributing 48.5%/45.2% during 9MFY25 and FY24. The company do not have long-term contracts, so any loss or reduced business from these customers, or failure to diversify customer base, could negatively impact operations and financial performance.
- **Delay in payments:** Delays or defaults in payment by the customers or a reduction in credit periods granted to the company by the vendors could adversely affect the business and financial condition.
- **Capital intensive business:** The company have substantial working capital requirements and may require additional financing in the future. A failure in obtaining such additional financing could have an adverse effect on their business, results of operations, financial condition and cash flows.

Growth Strategies

- Optimize the mix of construction materials sold to improve margins.
- Form strategic partnerships to strengthen supply chain and expand portfolio of third-party manufactured construction materials.
- Form strategic partnerships to increase demand-side growth and grow revenues.
- Enhance working capital efficiency to support sustainable growth.
- Enhance market penetration and increase wallet share with existing customers.
- Continue to leverage technology to further optimize their operations and improve user experience.

Key Performance Indicators

KPIs	FY22	FY23	FY24	9MFY25
No of Customers	431	1,321	2,133	2,659
No of Vendors	441	1,048	1,458	1,729
No of daily dispatches	282	495	484	613
Quantity delivered (MT)	23,22,389	40,10,626	40,16,191	37,52,125
Active customer count	431	1,117	1,278	1,080
Deal document digitised	-	757	35,583	1,21,549
Repeat customers	366	920	934	848
Repeat customers (%)	85.0	82.4	73.1	78.5

Source: RHP, SSL Research

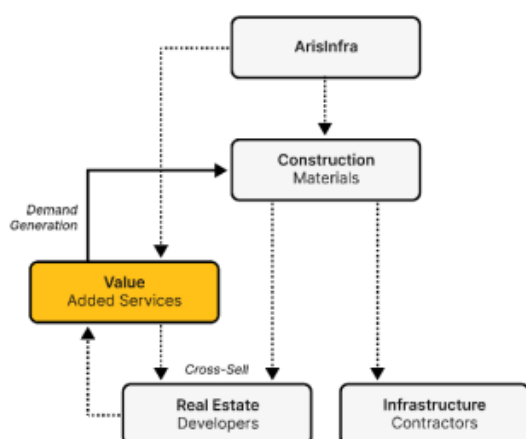
Revenue Breakup

Particulars (Rs cr)	FY22	% of revenue from operations	FY23	% of revenue from operations	FY24	% of revenue from operations	9MFY25	% of revenue from operations
(A) Sales of construction materials	445.0	98.4%	689.5	92.4%	544.7	78.2%	324.2	59.3%
(B) Sales of third-party-manufactured construction materials	-	-	18.4	2.5%	122.4	17.6%	190.3	34.8%
(A+B) Sales of traded products	445.0	98.4%	707.9	94.9%	667.2	95.7%	514.5	94.1%
(c) Sales of manufactured goods	-	-	16.9	2.3%	-	-	-	-
(D) Sales of services	7.4	1.6%	21.3	2.9%	29.7	4.3%	32.0	5.9%
Total Sales (A+B+C+D)	452.3	100.0	746.1	100.0	696.8	100.0	546.5	100.0

Source: RHP, SSL Research

Value-Added Services – Key Benefits

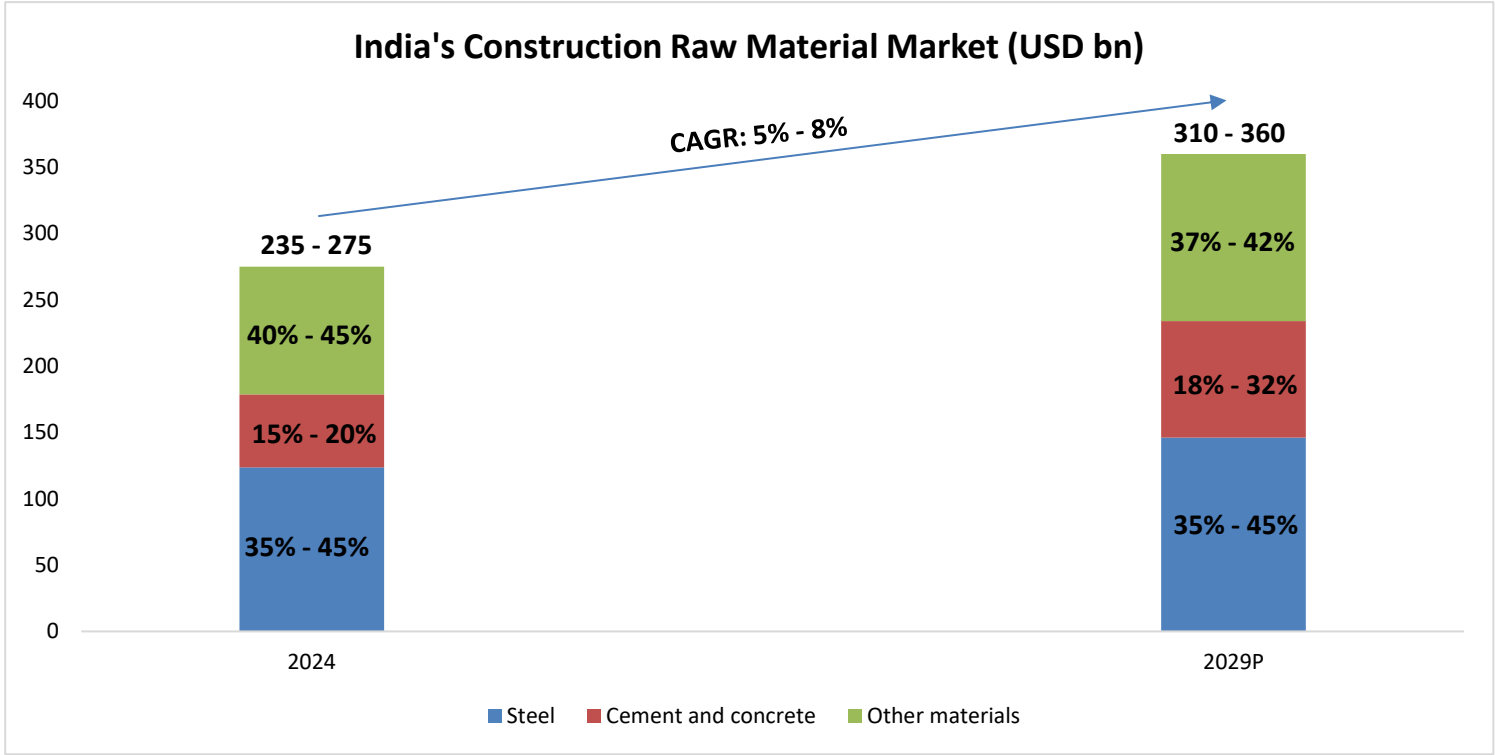
The company subsidiary ArisUnitern Re Solutions Private Ltd., provides advisory, consultancy and marketing support tailored for real estate developers. These services help boost revenue, strengthen client relationships and position them as trusted partners. By evaluating project viability, the company enhance risk assessment and drive cross-selling opportunities, increasing customer retention and share of construction material spending.



- ✓ **Enhanced Customer Retention**
by providing a more comprehensive offering of diverse materials and services
- ✓ **Cross-Selling Opportunities**
allowing us to offer Value Added Services alongside Construction Materials
- ✓ **Boost Profitability**
through diversified revenue streams and better resource utilisation
- ✓ **Improved Credit Risk Analysis**
through increased visibility into customer cash flow, enabled by deep integration with our services
- ✓ **Deeper Customer Relationships**
by offering comprehensive and integrated solutions

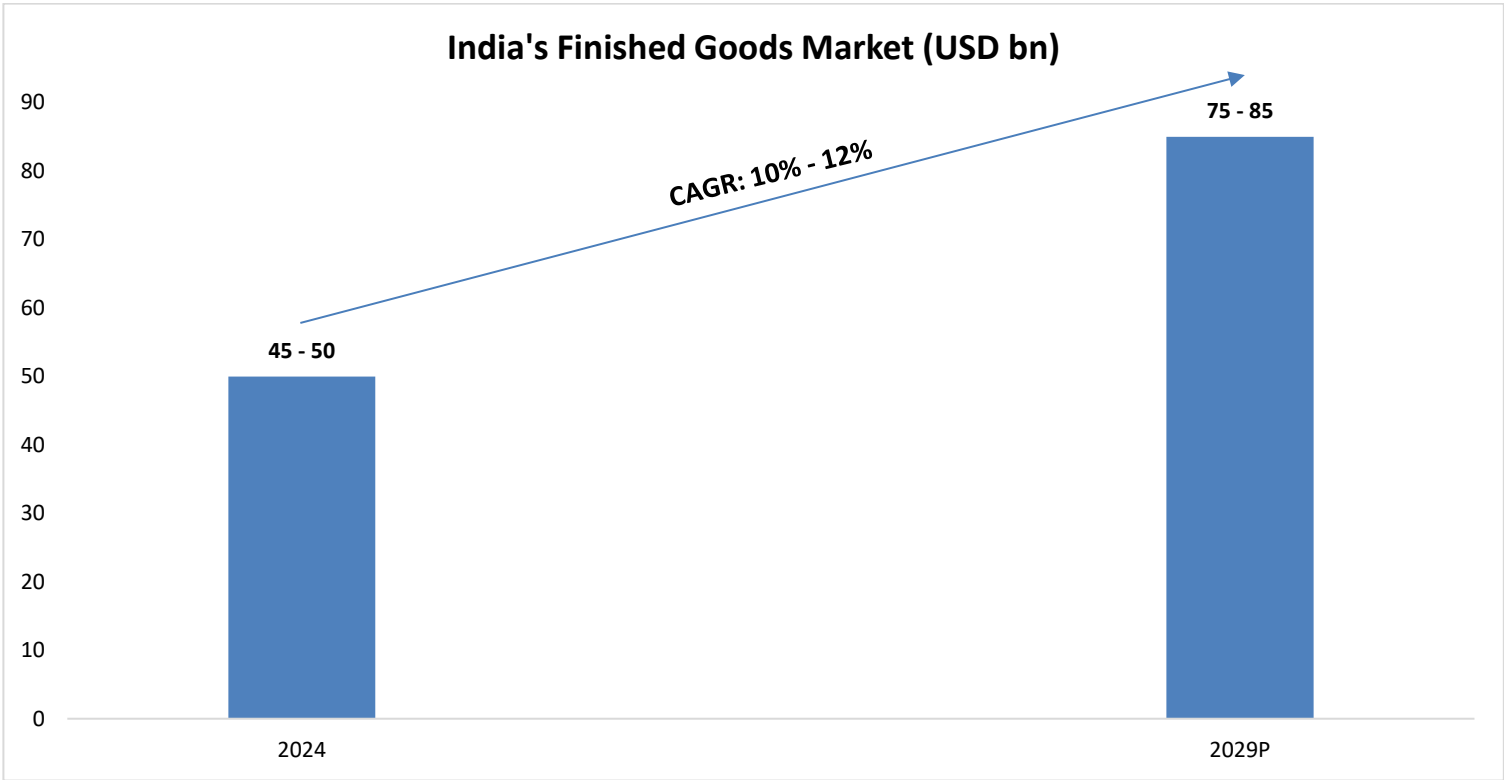
Industry Overview

Construction raw material market in India is expected to grow at a CAGR of 5% - 8% between 2024 and 2029P.



Source: RHP, SSL Research

The finished goods market in India is expected to grow at a CAGR of 10% - 12% between 2024 and 2029P



Finished Goods: (Paints, Electricals, Sanitaryware, Wood panels, Roofing materials, Doors, Windows, Glass, Hardware, Flooring & Plumbing)

Source: RHP, SSL Research

Financial Snapshot

INCOME STATEMENT				
(Rs cr)	FY22	FY23	FY24	9MFY25
Revenue from Operations	452	746	697	547
YoY growth (%)	-	64.9	(6.6)	-
Cost Of Revenues (incl Stock Adj)	408	684	613	469
Gross Profit	45	62	84	78
Gross margin (%)	9.9	8.4	12.0	14.2
Employee Cost	5	20	30	26
Other Operating Expenses	41	43	41	18
EBITDA	(1)	(1)	13	33
EBITDA margin (%)	-	-	1.8	6.0
Other Income	1	8	6	11
Interest Exp.	5	24	32	30
Depreciation	1	2	3	3
PBT	(5)	(18)	(17)	12
Exceptional item	-	-	-	-
Tax	1	(3)	0	5
PAT	(6)	(15)	(17)	7
PAT margin (%)	-	-	-	1.2

BALANCE SHEET				
(Rs cr)	FY22	FY23	FY24	9MFY25
Assets				
Net Block	1	2	2	2
Intangible Assets	0	0	0	0
Intangible Assets under development	0	9	25	33
Right-of-use assets	1	4	1	4
Other Non-Current Assets	26	19	22	14
Current Assets				
Inventories	1	2	1	1
Trade receivables	262	275	320	316
Cash and Bank Balances	22	3	1	2
Other Current Assets	20	81	120	215
Total Current Assets	305	361	443	533
Current Liabilities & Provisions				
Trade payables	25	31	45	61
Other current liabilities	13	19	18	35
Total Current Liabilities	38	50	62	97
Net Current Assets	267	311	380	436
Total Assets	296	345	430	490
Liabilities				
Share Capital	1	1	2	11
Reserves and Surplus	139	104	140	141
Total Shareholders Funds	140	105	142	152
Minority Interest	(0)	(1)	1	4
Total Debt	154	220	274	323
Lease Liabilities	2	4	2	4
Other Long Term Liabilities	0	17	13	7
Net Deferred Tax Liability	-	0	-	-
Total Liabilities	296	345	430	490

Cash Flow (Rs Cr)	FY22	FY23	FY24
Cash flow from Operating Activities	(2,691)	(143)	35
Cash flow from Investing Activities	(70)	(432)	(368)
Cash flow from Financing Activities	2,913	425	308
Free Cash Flow	(2,706)	(151)	21

RATIOS			
	FY22	FY23	FY24
Profitability			
Return on Capital Employed (%)	(0.1)	1.7	3.7
Return on Equity (%)	(4.6)	(14.7)	(12.2)
Margin Analysis			
Gross Margin (%)	9.9	8.4	12.0
EBITDA Margin (%)	-	-	1.8
Net Profit Margin (%)	-	-	-
Short-Term Liquidity			
Current Ratio (x)	2.2	1.9	1.6
Quick Ratio (x)	2.2	1.9	1.6
Avg. Days Sales Outstanding	211	135	168
Avg. Days Inventory Outstanding	1	1	1
Avg. Days Payables	21	15	24
Fixed asset turnover (x)	340.1	438.1	290.1
Debt-service coverage (x)	-	0.0	0.1
Long-Term Solvency			
Total Debt / Equity (x)	1.1	2.1	1.9
Interest Coverage Ratio (x)	-	0.2	0.5
Valuation Ratios*			
EV/EBITDA (x)	-	-	116.6
P/E (x)	-	-	-
P/B (x)	8.7	11.6	8.6
EV/Sales (x)	3.0	1.9	2.1
Mkt Cap/Sales (x)	2.7	1.6	1.8

**Valuation ratios are based on pre-issue capital at the upper price band*

Source: RHP, SSL Research

SBICAP Securities Limited

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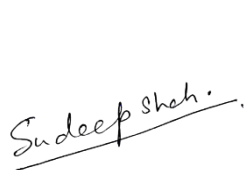
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